

But has fallen short of expectations of the experts



SIDDHARTHA ROY
Chief Economist,
Tata Sons

A Began as a supply side issue, spurred by increase in food and commodity prices, and then fed on inflationary expectations.

A It had limited options. Measures like hiking CRR and repo rate lead to firming up of interest rates and add to costs.

A Inflation rate of more than 5 per cent can have a negative impact on the GDP growth. Expect the growth rate to come down to 7.5-8 per cent.

A Procurement drive for foodgrains, reduction in import duties, and no cuts in productive expenditure.

A Should have focused on food economy and hiked fuel prices in phases.



ASHIMA GOYAL
Professor,
IGIDR

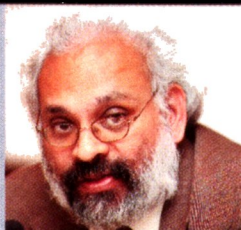
A The combination of rising food prices, rise in global commodity prices and spiralling crude prices is resulting in oil shocks.

A Short-term management is largely right but they should have prevented rupee depreciation beyond Rs 40.

A The better performance of agriculture may rescue us so that 8 per cent growth continues to be possible.

A Cut in indirect taxes, moderation in monetary tightening and rise in policy interest rates.

A Should have pushed agro productivity reforms. Tax bonanza frittered away in subsidies.



SUBIR GOKARN
Chief Economist,
S&P's Asia Pacific

A A combination of supply shocks from oil to metals, minerals and food. Prices of food though are moderating in India.

A Some measures like tariff cuts, import duty reduction and export restrictions were right, given the emergency situation.

A Our GDP growth forecast was scaled down from 8.5 per cent in March to 8.1 per cent in April. We are now scaling it down to 7.8 per cent on account of changed inflationary situation.

A The Government's emergency response was okay but these are not permanent solutions.

A Global price rise should have been passed onto consumers. Government failed to act on agro reforms.

5

10

5

10

5

10



"Credit squeezes and interest rate hikes are just not working out."

AMIT MITRA, SEC. GENERAL, FICCI

stock. Thus, Government often has had to opt for imports at higher prices. Higher MSP for wheat and paddy have mitigated this in 2008. The Government is poised to break all previous procurement records.

Riding piggyback on an economic growth rate of 9-plus per cent, the impact of inflation is clear—a slowdown in growth. The fears are well-founded with RBI now left with no other option but to further tighten monetary policy, even if this means slowing down economic growth. The apex bank has just raised its key repo lending interest rate to 8 per cent, a five-year high, and it is expected to approve another 25-basis point increase in its July 29 policy meeting.

CII President and ICICI Chairman K.V. Kamath is sympathetic to the Government's plight. "The situation of global slowdown, moderate growth in some industrial sectors combined with high inflation in the domestic economy presents the government with a tough balancing

SANJAY SONKAR



SURENDRA RAJPUT BUSINESSMAN, LUCKNOW

FAMILY INCOME: Rs 6 lakh per annum

TRAVEL: Inflation has forced the Rajput family to stay home for this summer vacation

LIFESTYLE: The family has cut down on consumption of non-vegetarian food by 50 per cent. A new car and electronic gadgets are a distant dream. Savings are now a thing of the past.

FUEL: Spends Rs 4,000 monthly on petrol, up from Rs 2,000 four years ago.

"Inflation has already affected our social life. We are avoiding weddings and birthday parties because each trip burns a hole in the pocket."

by Farzand Ahmed